

MERIDIAN FINANCE PRIVATE LIMITED
A Non-Banking Financial Company (NBFC-ICC, Middle Layer)

Unsecured Personal & Consumer Lending Credit Policy

Board-approved policy governing the sourcing, underwriting, pricing, disbursement, servicing, collection and regulatory conduct of the Company's unsecured personal and consumer loan portfolio.

Version 4.1 • Effective 15 April 2026 • Classification: Internal / Confidential

This is fictitious test documentation. "Meridian Finance Private Limited" is not a real entity; company identifiers are placeholders. All Reserve Bank of India circular references, numbers and dates cited herein are real and were independently verified against rbi.org.in.

1. Document Control & Approval

Field	Detail
Document title	Unsecured Personal & Consumer Lending Credit Policy
Document owner	Chief Risk Officer (CRO)
Prepared by	Credit Policy Unit, Risk Management Department
Reviewed by	Credit Committee; Risk Management Committee of the Board (RMCB)
Approved by	Board of Directors
Current version	4.1
Effective date	15 April 2026
Last review date	15 April 2026
Next review due	On or before 14 April 2027, or earlier upon a material regulatory change
Review frequency	Annual (minimum), and event-driven on any RBI instruction affecting the product
Classification	Internal / Confidential
Distribution	Board, RMCB, Credit Committee, Business, Credit, Operations, Compliance, Internal Audit
Regulatory register	Maintained in Annexure C - Regulatory Change Log

A summary of every revision to this Policy, and the specific Reserve Bank of India (RBI) instrument that drove it, is set out in **Section 22 (Policy Review & Version Control)** and **Annexure C**.

2. Purpose & Objectives

This Policy establishes the principles, parameters and controls under which Meridian Finance Private Limited (“the Company”) originates, underwrites, prices, disburses, services and collects unsecured personal and consumer loans. It codifies the Company’s credit risk appetite for the unsecured segment and ensures that lending is conducted prudently, transparently and in full compliance with the directions of the RBI.

The objectives of this Policy are to:

- define a clear and consistent framework for customer selection, credit assessment and loan decisioning across all channels;
- ensure that every borrower receives fair, transparent and non-discriminatory treatment, including full up-front disclosure of the all-inclusive cost of credit;
- keep the growth of the unsecured portfolio within the risk appetite approved by the Board and aligned to the Company’s capital position;
- embed all applicable RBI directions - on digital lending, fair lending practice, credit information, KYC/AML and prudential capital - directly into operating rules; and
- establish accountability, monitoring and escalation so that deviations are controlled, documented and reported.

3. Scope & Applicability

This Policy applies to all unsecured personal and consumer lending products of the Company, whether sourced directly (branch, tele-sales, website, the Company’s own mobile application) or through digital channels operated by Lending Service Providers (LSPs) and Digital Lending Apps (DLAs). It binds all employees, and - through contract - all LSPs, DLAs, direct selling agents, collection agents and other

outsourced partners engaged in the loan lifecycle.

Expressly excluded from this Policy are secured lending products (loans against property, gold or securities), microfinance/JLG lending governed by the Company's separate Microfinance Policy [Ref: RBI/DOR/2021-22/89 DoR.FIN.REC.95/03.10.038/2021-22, dated 14 March 2022], and co-lending arrangements, which are governed by their own board-approved frameworks.

4. Regulatory & Statutory Framework

This Policy is framed under, and must be read together with, the following RBI instruments and applicable law. Reference numbers and dates have been verified against rbi.org.in.

#	RBI instrument / instruction	Reference and date
4.1	Scale Based Regulation - Master Direction for NBFCs (incl. Fair Practices Code)	RBI/DoR/2023-24/105 DoR.FIN.REC.No.45/03.10.119/2023-24, dated 19 October 2023
4.2	Master Direction - Know Your Customer (KYC) Direction, 2016	Master Direction DBR.AML.BC.No.81/14.01.001/2015-16, dated 25 February 2016 (as amended)
4.3	Guidelines on Digital Lending (2022)	RBI/2022-23/111 DOR.CRE.REC.66/21.07.001/2022-23, dated 2 September 2022
4.4	RBI (Digital Lending) Directions, 2025 (consolidated)	RBI/2025-26/36 DOR.STR.REC.19/21.07.001/2025-26, dated 8 May 2025
4.5	Default Loss Guarantee (DLG) in Digital Lending	RBI/2023-24/41 DOR.CRE.REC.21/21.07.001/2023-24, dated 8 June 2023
4.6	Fair Lending Practice - Penal Charges in Loan Accounts	RBI/2023-24/53 DoR.MCS.REC.28/01.01.001/2023-24, dated 18 August 2023 (effective 1 April 2024)
4.7	Reset of Floating Interest Rate on EMI-based Personal Loans	RBI/2023-24/55 DOR.MCS.REC.32/01.01.003/2023-24, dated 18 August 2023
4.8	Release of Movable/Immovable Property Documents on loan closure	RBI/2023-24/60 DoR.MCS.REC.38/01.01.001/2023-24, dated 13 September 2023 (effective 1 December 2023)
4.9	Regulatory measures towards consumer credit (risk weights)	RBI/2023-24/85 DOR.STR.REC.57/21.06.001/2023-24, dated 16 November 2023
4.10	Key Facts Statement (KFS) for Loans & Advances	RBI/2024-25/18 DOR.STR.REC.13/13.03.00/2024-25, dated 15 April 2024
4.11	Frequency of credit information reporting to CICs (fortnightly)	RBI/2024-25/60 DoR.FIN.REC.No.32/20.16.056/2024-25, dated 8 August 2024 (effective 1 January 2025)
4.12	Other applicable law	Credit Information Companies (Regulation) Act, 2005 & Rules; Prevention of Money-Laundering Act, 2002; Companies Act, 2013; Consumer Protection Act, 2019; DPDP Act, 2023

5. Governance & Board Oversight

The Board of Directors owns this Policy and the Company's credit risk appetite. Oversight is exercised through a defined committee structure with delegated authority:

- **Board of Directors** - approves this Policy and every material revision; approves the risk appetite for the unsecured book and its share of total assets.
- **Risk Management Committee of the Board (RMCB)** - reviews portfolio quality, concentration, and the impact of regulatory change; recommends policy revisions to the Board.
- **Credit Committee (management)** - approves product programmes, scorecards, deviation matrices and pricing grids within Board-approved boundaries.

- **Chief Risk Officer (CRO)** - owns this document, maintains the Regulatory Change Log (Annexure C), and confirms that each RBI instruction is mapped to a control before its effective date.
- **Delegation of authority** - sanctioning powers are exercised strictly per the approved credit-approval grid; the maker cannot be the checker/approver on the same case.

6. Definitions & Abbreviations

Term	Meaning
APR	Annual Percentage Rate - the all-inclusive effective annualised cost of the loan to the borrower, comprising interest and all fees/charges (cost of funds, credit cost, operating cost, processing/verification/maintenance charges), excluding contingent charges such as penal charges.
Cooling-off / look-up period	The window during which a borrower may exit a digital loan by repaying principal plus the proportionate APR, without penalty.
FOIR	Fixed Obligations to Income Ratio - the borrower's total monthly debt obligations (including the proposed EMI) as a percentage of net monthly income.
KFS	Key Facts Statement - the standardised, borrower-facing summary of key loan terms including APR, issued before execution of the loan contract.
LSP / DLA	Lending Service Provider / Digital Lending App - an agent or platform engaged by the Company in the digital lending value chain.
DLG (FLDG)	Default Loss Guarantee (also First Loss Default Guarantee) - a contractual arrangement under which a third party guarantees a portion of the Company's loan portfolio against default.
CIC	Credit Information Company (e.g., CIBIL, Experian, Equifax, CRIF High Mark).
NPA	Non-Performing Asset, classified per the extant RBI income-recognition and asset-classification norms.

7. Target Market & Customer Eligibility

The Company lends to resident Indian individuals who meet the eligibility criteria below. Sourcing is governed by an approved positive/negative list of employers, industries, geographies and customer segments, reviewed at least half-yearly by the Credit Committee.

- **Age:** minimum 21 years at origination; maximum 60 years (salaried) / 65 years (self-employed) at maturity.
- **Income:** minimum net monthly income of Rs. 25,000 (salaried) or minimum annual net profit as specified in the product programme (self-employed).
- **Employment/vintage:** minimum 6 months in current employment (salaried) or 2 years of business vintage (self-employed).
- **Residence/KYC:** valid, verifiable Officially Valid Documents (OVDs); India-resident borrowers only.
- **Negative list:** borrowers on regulatory caution lists, undischarged insolvents, and segments excluded by the Credit Committee from time to time.

8. Product & Programme Parameters

All unsecured lending must fall within the parameter matrix below. Any case outside these bounds is a deviation and must be handled per Section 21.

Parameter	Personal Loan	Consumer Durable / BNPL	Small-ticket digital PL
Ticket size	Rs. 50,000 - Rs. 20,00,000	Rs. 5,000 - Rs. 5,00,000	Rs. 3,000 - Rs. 1,00,000
Tenor	6 - 60 months	3 - 24 months	1 - 12 months

Minimum CIBIL / bureau score	720	700	690
Maximum FOIR	50%	55%	55%
Interest rate band (p.a.)	14% - 26%	0% - 24% (subvented/standard)	18% - 34%
Processing fee	up to 2.5% + GST	up to 3% + GST	up to 4% + GST (in APR)
Disbursal mode	Direct to borrower bank account	Direct to borrower/merchant per KFS	Direct to borrower bank account

The minimum bureau score of 720 for the flagship Personal Loan was raised from 700, and the maximum FOIR tightened from 55% to 50%, following RBI's consumer-credit measures (see Section 19).

9. Credit Assessment & Underwriting

Underwriting combines policy-rule screening, a mandatory credit bureau enquiry, income assessment and a validated statistical scorecard. No unsecured loan may be sanctioned without a current credit bureau report from at least one RBI-licensed CIC.

9.1 Bureau and de-duplication

A hard bureau pull is mandatory at application. The report is used for score cut-off, existing-obligation capture (for FOIR), over-leverage checks and negative-flag detection. Every sanctioned and rejected application is de-duplicated against the Company's records and reported to all CICs, including all digitally-sourced loans irrespective of tenor or amount.

9.2 Income and FOIR

Net monthly income is assessed from salary credits/bank statements (salaried) or financials and banking (self-employed). Total fixed obligations including the proposed EMI must not exceed the FOIR ceiling in the parameter matrix. Income and obligation evidence is retained on file.

9.3 Scorecard and decisioning

An application scorecard, validated at least annually by the Risk function, drives auto-approve / refer / auto-decline decisioning. Overrides are permitted only within the deviation matrix (Section 21) and are logged for audit.

10. KYC, AML & CFT Compliance

Customer identification and due diligence follow the Company's Board-approved KYC/AML Policy, framed under the RBI KYC Master Direction. Salient requirements:

- Customer Due Diligence (CDD) using OVDs at onboarding; Video-based Customer Identification Process (V-CIP) permitted for digital journeys.
- Risk categorisation of every customer as low / medium / high, with periodic updation (re-KYC) at least once every 10 / 8 / 2 years respectively.
- Screening against sanctions and PEP lists; enhanced due diligence for high-risk customers.
- Ongoing transaction monitoring and filing of statutory reports (STR/CTR) as applicable.

11. Pricing, Interest Rate & APR

Interest is set on a risk-based pricing model approved by the Credit Committee, referencing cost of funds, credit cost, operating cost and a risk-adjusted margin. The interest-rate model and the gradation-of-risk approach are disclosed per the Fair Practices Code. For every loan the Company computes an all-inclusive Annual Percentage Rate (APR) capturing interest and all fees/charges, and no charge not disclosed in the

KFS may be levied at any later stage.

12. Key Facts Statement (KFS)

A standardised Key Facts Statement is provided to every borrower, in a language understood by the borrower, before execution of the loan contract. The KFS carries a unique proposal number, is valid for a stated period, and includes at minimum: the sanctioned amount, tenor, interest rate and type, the all-inclusive APR, the total amount repayable, a repayment schedule, an itemised list of all fees/charges, cooling-off period details, the recovery mechanism, and grievance-redressal contact details. A computation sheet of the APR is annexed to the KFS. A specimen KFS is at Annexure B.

13. Penal Charges & Fees

Charges levied for non-compliance with material terms are treated as **penal charges** and not as **penal interest**; no further interest is computed on penal charges, and penalties are not capitalised. Penal charges are reasonable, commensurate with the breach, non-discriminatory within a product/facility category, and disclosed up front in the loan agreement and the KFS. The quantum and reason for any penal charge are communicated to the borrower whenever charged.

14. Disbursement & Repayment

All loan disbursements are made directly from the Company's bank account into the borrower's bank account, and all repayments/servicing flow directly into the Company's bank account; no pass-through or pool account of any LSP/DLA or third party is used (statutory and co-lending exceptions apart).

14.1 Floating-rate EMI reset

For floating-rate EMI-based loans, at the time of sanction the Company discloses the possible impact of benchmark changes on EMI and tenor. On any reset, the borrower is given the option to switch to a fixed rate, or to adjust EMI, tenor, or both, and to prepay. Charges for switching and foreclosure are disclosed transparently.

14.2 Release of documents on closure

Although personal loans are unsecured, where any movable/immovable property document has been obtained the Company releases all original documents and removes any charge within 30 days of full repayment/settlement. Delay attracts compensation to the borrower of Rs. 5,000 for each day of delay, and the borrower is intimated of the collection timelines and location.

15. Digital Lending, LSPs & DLG

Digital lending journeys, and the LSPs/DLAs operating them, are governed by the RBI Digital Lending framework. Controls include:

- enhanced due diligence before onboarding any LSP/DLA (technical capability, data privacy, fair conduct, regulatory compliance), with the Company remaining fully responsible for their conduct;
- a cooling-off/look-up period of not less than 3 days for loans of tenor 7 days or more (1 day for shorter tenors), during which the borrower may exit penalty-free against principal plus proportionate APR;
- need-based, purpose-specific data collection with prior explicit borrower consent, an audit trail, no biometric storage, borrower rights to grant/deny/revoke consent, and data stored only on servers located in India;
- reporting of all DLAs used by the Company or its LSPs to the RBI (via CIMS), and, where a digital lending platform aggregates multiple lenders, up-front disclosure to the borrower of all lenders and the LSP's role.

15.1 Default Loss Guarantee (DLG/FLDG)

Any DLG arrangement is capped at 5% of the underlying loan portfolio amount, is backed only by permitted forms (cash deposit, fixed deposit with lien, or bank guarantee), is documented in a legally enforceable contract, and does not dilute the Company's own credit-underwriting and NPA-recognition responsibilities. DLG-covered portfolios and invocations are disclosed and monitored.

16. Collections & Recovery

Collections follow a graded, borrower-fair strategy across buckets. Recovery agents are trained and act within the Fair Practices Code: contact only between 08:00 and 19:00, no harassment or intimidation, and adherence to the RBI/Company code of conduct. The identity of authorised recovery agents is shared with the borrower. Repossession (where any security exists) follows a transparent, contractually-disclosed process.

17. Fair Practices Code & Grievance Redressal

The Company adopts the Fair Practices Code prescribed for NBFCs, covering non-discrimination, transparency in terms, no interference except per contract, and privacy. A nodal Grievance Redressal Officer (GRO) is designated, whose name and contact are displayed on the website, in the app and in the KFS. Complaints are acknowledged and resolved within 30 days; if unresolved, the borrower may escalate to the RBI Integrated Ombudsman Scheme, 2021. A separate escalation exists for FinTech/digital-lending complaints handled by LSPs/DLAs.

18. Credit Information Reporting

The Company is a member of all four RBI-licensed CICs and submits complete, accurate credit information on a **fortnightly** basis - as on the 15th and the last day of each month - or at such shorter intervals as agreed with the CICs, with data uploaded within the prescribed timeline of each reporting cycle. Data-quality, rejection and correction processes are monitored, and borrower disputes are resolved within regulatory timelines.

19. Provisioning, Risk Weights & Capital

Income recognition, asset classification and provisioning follow the extant RBI prudential norms for NBFCs. For capital adequacy, consumer credit exposures (personal loans) carry a risk weight of **125%**, reflecting the 25-percentage-point increase directed by the RBI. The Company monitors the size and growth of its unsecured consumer-credit book against Board-approved limits, prices for the higher capital consumption, and sets an internal sub-limit on unsecured exposure as a share of total assets.

20. Monitoring, MIS & Portfolio Review

The Risk function produces monthly portfolio MIS - sourcing mix, approval rates, vintage/bucket delinquency, early-warning indicators, bureau trends, DLG utilisation and yield - reviewed by the Credit Committee and, quarterly, by the RMCB. Trigger-based reviews are initiated when delinquency, concentration or first-payment-default thresholds are breached.

21. Exceptions & Deviations

Any sanction outside the parameters of this Policy is a deviation. Deviations are permitted only within a Board-approved deviation matrix, must be justified in writing, approved one level above the normal sanctioning authority, capped as a percentage of monthly disbursal, and reported to the Credit Committee monthly. No deviation may breach a regulatory requirement; regulatory limits are hard limits and are never

subject to deviation.

22. Policy Review & Version Control

This Policy is reviewed at least annually by the Board, and additionally whenever the RBI issues an instruction that affects the product. Every revision, its nature, and the specific RBI instrument that drove it are recorded below and in Annexure C. This is the authoritative iteration history of the Policy.

Ver.	Approved	Nature	Summary of change	Driving RBI instrument (verified)
1.0	15 Jan 2021	Initial	First Board-approved unsecured personal loan credit policy: eligibility, underwriting, pricing, sanctioning grid.	Foundational NBFC directions; KYC MD (25 Feb 2016)
1.1	25 Nov 2022	Regulatory	Introduced KFS + all-inclusive APR; cooling-off/look-up period; direct disbursement/repayment routing; LSP/DLA due diligence; data-consent and India-only storage; nodal GRO with 30-day SLA.	Guidelines on Digital Lending - RBI/2022-23/111 DOR.CRE.REC.66/21.07.001/2022-23, dated 2 September 2022
2.0	20 Oct 2023	Major	Added DLG/FLDG framework (5% cap); penal charges (not penal interest); floating-rate EMI reset options; 30-day release of property documents; refreshed Fair Practices Code.	FLDG - RBI/2023-24/41 DOR.CRE.REC.21/21.07.001/2023-24, dated 8 June 2023; Penal Charges - RBI/2023-24/53 DoR.MCS.REC.28/01.01.001/2023-24, dated 18 August 2023 (effective 1 April 2024); Floating-rate reset - RBI/2023-24/55 DOR.MCS.REC.32/01.01.003/2023-24, dated 18 August 2023; Property documents - RBI/2023-24/60 DoR.MCS.REC.38/01.01.001/2023-24, dated 13 September 2023 (effective 1 December 2023); Fair Practices Code - RBI/DoR/2023-24/105 DoR.FIN.REC.No.45/03.10.119/2023-24, dated 19 October 2023
2.1	22 Dec 2023	Regulatory	Raised consumer-credit risk weight to 125%; raised min. bureau score to 720 and tightened FOIR to 50% on the flagship PL; set internal sub-limit on unsecured exposure.	Consumer-credit risk weights - RBI/2023-24/85 DOR.STR.REC.57/21.06.001/2023-24, dated 16 November 2023
3.0	28 Mar 2024	Regulatory	Penal charges made operative from 1 Apr 2024; adopted standardised KFS format, APR computation sheet and unique proposal number.	Penal Charges effective 1 Apr 2024 - RBI/2023-24/53 DoR.MCS.REC.28/01.01.001/2023-24, dated 18 August 2023 (effective 1 April 2024); KFS - RBI/2024-25/18 DOR.STR.REC.13/13.03.00/2024-25, dated 15 April 2024
3.1	15 Nov 2024	Regulatory	Moved credit-information reporting to a fortnightly cycle (15th and month-end), effective 1 Jan 2025.	CIC fortnightly reporting - RBI/2024-25/60 DoR.FIN.REC.No.32/20.16.056/2024-25, dated 8 August 2024 (effective 1 January 2025)
4.0	30 Jun 2025	Major	Aligned the Policy to the consolidated RBI (Digital Lending) Directions, 2025; added DLA reporting to RBI via CIMS and multi-lender disclosure on digital lending platforms.	RBI (Digital Lending) Directions, 2025 - RBI/2025-26/36 DOR.STR.REC.19/21.07.001/2025-26, dated 8 May 2025
4.1	15 Apr 2026	Periodic	Annual Board review; no material regulatory change. Refreshed the product parameter matrix, delinquency triggers and Annexure C.	Annual review (Board) - no new circular

Annexure B - Specimen Key Facts Statement (illustrative)

Key fact	Illustrative value
Unique proposal / KFS number	KFS-PL-2026-00123 (valid 7 calendar days)
Loan amount (sanctioned)	Rs. 3,00,000
Tenor	36 months
Interest rate & type	18.0% p.a., fixed, monthly rest
Processing fee	Rs. 6,000 + GST
Documentation / other charges	Rs. 500 + GST
All-inclusive Annual Percentage Rate (APR)	20.4% p.a.
EMI	Rs. 10,846
Total amount repayable	Rs. 3,90,456
Cooling-off / look-up period	3 days (penalty-free exit against principal + proportionate APR)
Penal charge	Rs. 500 per instance of EMI default (not penal interest; not capitalised)
Prepayment / foreclosure	Permitted after 6 EMIs; charge 4% + GST on outstanding (disclosed)
Recovery mechanism	Standing instruction/NACH; graded collections per Fair Practices Code
Grievance Redressal Officer	Ms. A. Rao, GRO - gro@meridianfinance.example - 1800-000-0000
Ombudsman escalation	RBI Integrated Ombudsman Scheme, 2021 (if unresolved in 30 days)

Illustrative values for test use only. APR computed on an all-inclusive basis per RBI/2024-25/18 DOR.STR.REC.13/13.03.00/2024-25, dated 15 April 2024.